

Why Did Shanxi Piaohao Remained Kin-shipped While German
universal banks evolved into corporate institutions in the 19th century? A

Comparative Study, 1842–1913

Liu Jiatong

1. Introduction

Over the controversial debate of the great divergence between Europe and Asia in the 19th century, institutional foundations of trade and finance in the modernization process had raised significant recognition. In Europe after 1815, corporate legal frameworks and the rise of universal banks consolidated a financial system that scaled across regions, integrated trade finance with industrial investment, and stabilized credit through public debt markets and central banks. In China after the Treaty of Nanking in 1842, its' native banking system, the Shanxi Piaohao, remained kinship-based partnerships until 1905, functioning for efficient funds transfers across provinces and managing imperial remittances, but they never evolved into joint-stock or limited-liability entities. Yet for the rest of China, international finance was increasingly intermediated by foreign banks.

This paradox raised questions regarding what power shaped this diverging path. In Gerschenkron's book *Economic Backwardness in Historical Perspective: A Book of Essays*, it propose that bank substitute for underdeveloped capital market, while for Shanxi Piaohao, the first and largest private remittance banking group, ultimately substitute for fiscal treasury instead (Wang 2012). Similarly, it also challenges North's assumption that market efficiency inevitably generates institutional reform. Shuie and Keller (2007) proved China and Europe had comparable

level of market integration in 18th Century while the former did not experience institutional modernization until decades later.

This paper aims to examine bank as a micro perspective of financial institutional development, and asks: Why did German universal banks evolve into corporate institutions under an authoritarian state, while Chinese Piaohao failed to corporatize within a similar political structure? Both systems operated in contexts of centralized power and late industrialization, yet their institutional outcomes diverged. Germany's financial modernization under Bismarck's developmental state contrasts sharply with China's persistent fiscal embedding under the late Qing.

Combining with Lucian Pye's (1988) Primitive Power framework, this study aims to show how China's cultural and political norms in China structurally inhibited legal corporatization. While the Qing government did too weak to impose exploitative or direct intervention over the commercial and private sector, the ever-lasting cultural factor and implicit power of moral restriction denied institutional autonomy, and underpinned the scarce institutional support for private economic activity in ancient China.

Methodologically, the study applies a comparative historical approach (Mahoney and Thelen 2010), contrasting the Piaohao's trajectory (1842–1913) with Germany's universal banking system. It draws on empirical data (Shiue & Keller 2007), archival studies of Piaohao management (Xu 2008), and theoretical works on institutional change (North 1990; Gerschenkron 1962; Pye 1988).

2. Problématique

This study researches within the field of institutional political economy, which examines how state power and cultural norms shape the emergence of market institutions. In this paper, the state did not neutrally enforces but actively establishes economic organization. As North (1990) emphasized, institutions are the “rules of the game,” yet those rules themselves originate in power relations and historical legitimacy. Comparing Germany and China therefore offers an empirical test of how political authority can either enable or absorb financial modernization.

The paradox of China’s late imperial economy have led to a reconsideration of how different modes of power channel similar economic conditions into divergent outcomes. Gerschenkron’s model of late industrialization suggests that banks may substitute for underdeveloped capital markets, as in Germany’s universal banking system. In China, however, the Shanxi Piaohao substituted not for capital markets but for the fiscal treasury, managing state revenue rather than financing industry (Wang 2012; Xu 2008) with limited requirements for developing capital market. The substitution thus occurred within the state, reinforcing fiscal extraction instead of creating autonomous finance.

Similarly, the Chinese experience complicates North’s assumption that market efficiency necessarily leads to institutional reform. Shiue and Keller (2007) demonstrate that eighteenth-century China and Europe possessed comparable levels of market integration, yet China’s financial organizations remained personal, patriarchal, and politically subordinated. Efficiency,

in other words, did not translate into autonomy because the Qing state achieved coordination through moral authority rather than legal commitment.

Therefore, the divergence between German and Chinese modernization lies not in economic capacity but in the logic of coordination. Hall and Soskice's (2001) "varieties of capitalism" highlight how Germany institutionalized coordination through corporatist law, while China maintained relational coordination grounded in Confucian ethics. Both systems were authoritarian, but one produced institutional complementarity, the other institutional absorption.

By engaging these frameworks together, this study extends their scope by introducing the cultural-political dimension theorized by Lucian Pye's (1988) *Primitive Power*. *Primitive Power* describes a system where legitimacy is derived from moral order rather than legal rationality. Under this logic, markets in China could operate efficiently yet remain embedded in a political culture that viewed institutional autonomy as morally suspect. The research question emerging from this analysis is thus not why China lacked efficiency, but why an efficient market could not evolve into a legally autonomous institution.

3. Literature Review

The institutional development in Europe and Asia (Particularly China) had drawn rich literatures and analysis from economic data to the development path of banks. However, these researches remain relatively isolated and did not answer to the question of this paper,

3.1 Market Integration and the "Great Divergence."

Shiue and Keller (2007) challenge Eurocentric narratives by showing that China's markets before the Industrial Revolution were at the merely same integration level as Europe. The further pointed out that, therefore the underdeveloped financial institution is rather caused by the government did too less to support than the government did too much to intervene. However, this did not deny that China's economy was not constrained politically. Similar evidence appears in Broadberry et al. (2018) and Ma and Rubin (2019), who argue that China's pre-modern economy was commercially sophisticated but politically constrained. And it echoes with Shiue and Keller's work by admitting the weak state capacity that Qing government possess, while it emphasizes that it is the weakness of government that inhibited economic activity. These findings rejects the claim that underdevelopment stemmed from primitive markets, and brought the fact of the weak the Qing government into view. proposing that it resulted from the institutional channeling of commercial sector into state-controlled frameworks.

3.2 German Universal Banks and Corporate Law.

The German Universal Bank, as another case used for comparison in this paper, had showed a possible path for successful authoritarian institutional modernization of its financial and capital market. Cameron (1967) traced how Germany's universal banks served as a key institutional substitute between the state and industrial capital, suggesting that the emergence reflected the state's active role in creating a new financial infrastructure to compensate for the absence of mature capital markets by by providing capital mobilization, long-term credit allocation, and supervisory intermediation functions, serving for the purpose of industrial–military mobilization of the newly unified German Empire, investing in railway construction, steel production, and armament industries essential to national expansion (Gerschenkron 1962; Wehler 1973).

Building upon this, Ritschl and Wenzl (2004) demonstrated that German banks gradually evolved into “relational capital markets”, coordinating both industrial investment and corporate governance through long-term shareholding relations. This evolution, as Hall and Soskice (2001) later conceptualized, revealed a deeper institutional complementarity. The legal and political frameworks of Germany did not suppress but rather reinforced financial autonomy. Together, these works illustrate that Germany’s financial modernization was not only an economic process but an institutional progress, supported by the government’s codification of corporate law in the 1870 and 1884 Company Acts, which legally secured limited liability and corporate personhood.

3.3 Chinese Piaohao and Fiscal Dependence.

Shanxi Piaohao, on the other hand, had also drawn many discussions on its failure to corporatize itself. Serving as the first and largest private remittance banking group, it thrived but were also constrained by their own private rules with an underlying factor of culture and moral restrictions (Wu 2025).

Studies of the Piaohao (Wang 2024; Xu 2008; Yang 2007; Morck 2010) consistently highlight their dual nature: privately managed with a special moral-binding recruitment system, yet fiscally embedded with the Qing government. To overcome the principle-agent commitment problem, instead of using a contract, they implement a townsmen-guarantor-based recruitment system, a centralized M-form structure, and a multilateral punishment mechanism to secure commitment. In this system, the power of coercion come from the moral condemnation from neighbours and relatives; and the employee themselves would discipline oneself under the influence of the moral reciprocity system. For example, employment was moralized as a paternal relationship in which the subordinate owed loyalty and gratitude to the superior as to a father (Wu 2019; Xu 2008).

While these institutions were efficient in remittance and long-distance credit transfer, with its development and expansion in volume, gradually it became structurally dependent on the state's administrative hierarchy. As Luman Wang shows, Shanxi Piaohao handled the empire's high stakes flows, interregional remittances for big merchants and for both central and provincial governments, including tax deliveries and treasury payments, so their growth incorporated them as the central part of the Qing state's financial department rather than into autonomous capital markets. Similarly, from a longer-run organizational perspective, Meng Wu's reconstruction emphasizes that in a weak formal legal environment, Piaohao scaled a nationwide network by relying on informal rules and internal enforcement. Although this solved the remittance problem at low cost, it also locked the firms into a role complementary to state administration instead of propelling them toward corporatized finance. In other words, the very capabilities that made Piaohao indispensable to the fiscal state, such as speed, reach, and reputational enforcement, that channeled their expansion into state-serving intermediation, deepening dependence on the administrative hierarchy and making corporatization institutionally and politically costly

Together, these literatures expose a missing analytical link. High market efficiency did not automatically produce legal or institutional modernization. The German case demonstrates how legal codification converted trust into law; the Chinese case shows how moral authority converted trust into hierarchy.

4. Methodology

This study employs a comparative historical method (Mahoney and Thelen 2010), using process tracing to identify causal mechanisms linking political structure and financial evolution. The analysis follows a three-tiered framework:

1. Institutional Logic: How state power influence financial autonomy.
2. Organizational Form: How legal and moral rules shape ownership and liability.
3. Cultural Foundation: How political values influence economic rationality.

The quantitative evidence derives from Shiue and Keller's (2007) dataset on interregional price convergence, which serves as a proxy for market efficiency. Archival sources include operational records of major Piaohao (Xu 2008) and Qing fiscal documents. German data are drawn from historical banking statistics (Cameron 1967; Ritschl 2004).

Comparative analysis proceeds by aligning these two cases temporally (1842–1913) to identify divergent institutional mechanisms under similar economic preconditions. Germany's transition from patrimonial bureaucracy to legal rationality contrasts with China's persistence of moralized hierarchy.

5. Comparative Historical Context

This section provides a comprehensive comparison between Germany's universal banks and China's Shanxi Piaohao, focusing on their historical evolution timeline, functional difference, and organizational composition.

5.1 Divergence in Historical development

During the mid-19th century, European banking entered a phase of rapid institutionalization.

France and Germany enacted successive reforms that legalized corporate finance and established formal company law. Germany's *General Commercial Code* (1861) and *Company Acts* of 1870 and 1884 created the legal basis for corporate personhood, limited liability, and standardized

accounting (Cameron 1967; Gerschenkron 1962). These laws provided a predictable environment for long-term industrial credit. North (1990) later termed this the “impersonalization of exchange.” The Bismarckian state thus harnessed bureaucracy for institutional innovation, promoting a financial system aligned with industrial capitalism.

In the same decades, the Shanxi Piaohao reached their commercial vertex in a much different way. From the 1840s through the 1870s, they expanded a national remittance network and managed both private and official transfers of silver, functioning as the empire’s fiscal infrastructure.

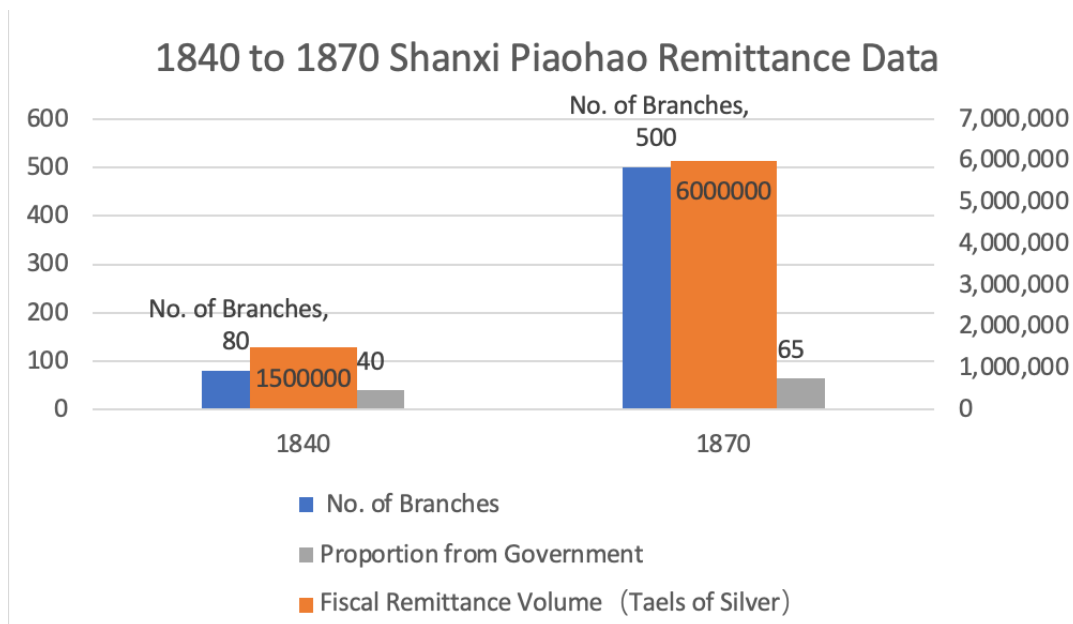


Fig 1 Data of Shanxi Piaohao Remittance 1840-1870

**Data compiled from Xu (2008), Wang (2012), and Morck & Yang (2010); intermediate values interpolated for illustration.*

The figure shows that as branch numbers increased from ~80 to ~500 in this period, annual fiscal remittances rose from c. 1.5 million to 6 million taels, with the government share growing from 40 to 65 percent, serving as an evidence of the Piaohao’s deepening fiscal dependence on the Qing administration.

Yet this organizational sophistication was not accompanied by institutional modernization. While Germany institutionalized through law, Shanxi Piaohao remained in traditional way, relying on “reputation” and patronage networks with officials. No company law or legal personhood protected private enterprise in the Qing system, and employees were binded through filial obligation rather than contractual enforcement. As Li Honglin mentioned in his book *Shanxi Diary*: “Advice to Companions Afloat,” and “Records of the Success and Failure of Shanxi Bankers:

“Looking back at those managers, they seemed half asleep, indifferent to the changing times; when asked about commerce, they hesitated, answered as if scratching an itch through the boot. Time flies, ultimately, we lost the time to corporatize, who’s fault is it?”

5.2 Functional and Operational Divergence

As stated above, Shanxi Piaohao, with merely no attempt nor support from the government to institutionalize or modernize, though they face a market with similar integration level to Europe, have served much different functions in the Economy.

German universal banks functioned as substitutes for underdeveloped capital markets, the Piaohao acted primarily as fiscal auxiliaries rather than financial intermediaries. Their activities focused on remittance, tax transfer, and government deposits; they rarely engaged in productive lending or capital investment (Wang 2012; Morck & Yang 2010). The table below summarizes this divergence in functional scope. As the table indicates, Germany’s banks fostered industrial expansion; China’s Piaohao reinforced fiscal centralization by engaging in much government

activity. The difference reflects not technological capacity but institutional purpose. In Germany, the state used law to extend market mechanisms; in China, it used commerce to extend state reach.

In other words, as long as they are not asked by the state, they would only focus on facilitate fiscal circulation than promote industrialization. No commercial motivation, from top to bottom of the Qing dynasty, no where in any official or manager's mind. A prevailing cultural factors hidden behind this phenomenon and will be discussed later.

Dimension	German Universal Banks	Shanxi Piaohao
Primary Role	Substitute for capital markets	Fiscal auxiliaries
	Provide industrial finance	Manage treasury transfers
Core Services	Credit	Remittance
	Investment	Deposit-taking,
	Equity underwriting	Intergovernmental
	Industrial loans	Transfers
Clients	Private firms	Government agencies
	Industrial enterprises	Merchants
	Railways	Officials
Regulatory	Corporate law	Customary regulation
Framework	Limited liability	Moral norms
Economic	Promote industrialization	Facilitate fiscal circulation
Function	Capital accumulation	Political control

Table 1 German Universal Bank vs Shanxi Piaohao Comparison

5.3 Organizational Structure and Liability

A third axis of divergence lay in the structure of governance and the logic of liability. German universal banks operated under limited liability and legal personhood, which allowed dispersed shareholders to pool capital without personal risk and to delegate decision-making through codified corporate law. In contrast, the Shanxi Piaohao functioned as unincorporated partnerships with unlimited liability, grounded in moral reciprocity rather than legal separation. As Meng Wu (2025) shows, their governance combined a townsmen-guarantor recruitment system, a centralized M-form hierarchy, and a multilateral punishment mechanism that bound employees through moral and social sanctions instead of contracts. All staff had to be Shanxi natives recommended by senior guarantors, ensuring homogeneity of dialect, lineage, and values. Within this dense social network, loyalty replaced transparency: subordinates repaid their employer's favor as if repaying a father's benevolence, echoing the Confucian ideal that "Serve your teacher (manager) as your father."

Decision-making was strictly vertical, lowered moral hazard but created severe information bottlenecks. The head office monopolized authority, while branch managers could only execute limited operations and were required to report every major transaction upward. Correspondence from Rishengchang (One typical Shanxi Piaohao) reveals weekly reports and punishments for any delay or deviation. As communication between Shanxi and coastal branches could take weeks, the highly centralized structure curbed adaptability in a changing financial environment. By the 1890s, when business volume expanded and modern telegraphic banks emerged, this rigidity produced what Wu calls "bounded rationality" at the top, which the head managers could no longer coordinate a dispersed empire.

Internally, the piaohao blurred the boundary between kinship and corporation. The Dongjia (Owner)–Zongjingli (Chief Manager) relationship resembled ruler and minister; clerks entered through apprenticeship and lived collectively under paternal discipline. “Employment shares” tied lifetime service to family honor rather than to legal ownership, while failures of integrity could result in collective punishment of guarantors or kin. Thus, as Xu (2008) notes, trust functioned as the de facto contract.

6. Empirical Analysis

As mentioned before, Shanxi Piaohao remain unincorporated until 1905 when western Banks penetrating China’s market and they finally feel the urgency to change. However it was an expected failure. This paper, by summarizing its failure, summarize a clue to the culture factor hidden behind.

6.1 The Failed Reform of 1908–1912: Li Hongling’s United Bank

6.1.1 The Unacceptable Idea of Limited Liability

The piaohao’s resistance to corporatization was rooted in its moral conception of liability = responsibility. Within its governance system, limited liability was not perceived as a financial safeguard but as a moral evasion. As Xu (2008) recounts, senior partners dismissed Li Hongling’s proposal for a joint-stock “United Bank,” condemning limited liability as “逃信,” or “escaping one’s debt of trust.”

This misinterpretation of “limited liability” as “unlimited liability” originated in Confucian ethics, that financial obligation was continuous across generations. “the son repays the father’s debt” (父

债子还) are till now a binding moral law that defined social trust. To cap liability was to deny virtue and detach responsibility from personhood. The piaohao's credit system thus rejected the Western separation between **contract** and **conscience**. As one partner reportedly wrote, "Our debt is not to the contract but to the favor received, and favor can never be repaid." Such logic produced a paradox: moral continuity sustained cohesion but precluded institutional innovation. Trust was not transferable, and therefore capital could not scale.

6.1.2 The Human Relations Market and the Absence of Competition

Another reason that the managers rejects corporatization, is the fact that "free competition" does not ever exists in China's business culture. The piaohao operated within what Wang (2012) terms a "human relations market." It propose that business man, as its nature that they are doing no good to the society and "stealing profit", have to run business that benefit people, and be "kind". Commercial exchange was guided by reciprocity and obligation, not by price or competition.

In this ethical environment, competition was stigmatized as greed, and winning a client from a rival was condemned as disloyal behavior. According to Li Honglin's book that record its letters with other managers, one said:

"What about the unclear boundaries between us and the bank? It is not like opening a new branch, that our accounts and profits are separate and we share the profit...also, is bank a complement or substitute for Piaohao? If it cannot save Piaohao from its bankruptcy, the only end was the two die together, then there is no need to open it only for competition and accelerates the death of Piaohao."

The piaohao could manage risk through trust, but it could not transform trust into an objective rule of law. Hence, when confronted with Western corporate competition—foreign banks,

official treasuries, and industrial investment—its moral economy offered stability, not adaptability.

6.1.3 Cultural Resistance: “Shares Without Kin, Owners Without Lineage”

With a similar reason of the managers rejecting limited liability, the fact that shareholders of the “Bank” are now not serving the same “Dongjia” conflicts with the traditional culture of “loyalty”. As we previously mentioned in Piaohao’s organizing structure, one repay their employer’s favor as if repaying a father’s benevolence.

When Li Hongling proposed the formation of a joint-stock “United Bank,” the partnership system presupposed unity of trust and kinship, “one family, one virtue”. The corporate system, by contrast, required impersonal shareholding: many investors, one law. To traditional elites, this separation was incomprehensible. They viewed the company model as “股非一家，东非一姓” (“shares without kin, owners without lineage”), a dissolution of moral community. Their loyalty required a single moral center, an 恩主 (in this case = Dongjia) embodying both authority and benevolence.

In Confucian logic, such a figure existed only in the ruler–subject relationship. Hence, even within their private firms, piaohao partners replicated the political theology of monarchy: they could serve the throne but never become one. To corporatize would have meant transforming a moral hierarchy into a legal contract, which is unthinkable as dethroning the moral order itself.

6.2 Cultural Foundation: How Political Values Shaped Economic Rationality

The piaohao's structural paralysis must ultimately be understood within the broader transformation of Chinese political thought on wealth, virtue, and order. As *The Money-Making in Ancient China: A Literature Review Journey Through Ancient Texts* (2021) demonstrates, early Chinese philosophy treated wealth creation as a legitimate form of governance. Commerce was seen as a public good; profit and virtue were not yet opposed.

By the Han dynasty, however, this pragmatic ethic gave way to the doctrine of “*honoring agriculture, restraining commerce*”. Thinkers such as Ban Gu and Dong Zhongshu moralized production: agriculture nourished the people; commerce merely circulated wealth. To profit without toil was to undermine the cosmic order of Heaven and ruler.

This ideological turn was institutionalized to preserve political stability. As recorded in the *Jinshu*, official Yan Jin warned the emperor:

“If there is a man who does not engage in farming, someone in the state will starve.

Now there are over 100,000 artisans, merchants, and servants who are unproductive.

How can everyone be full?”

Agrarian moralism served both fiscal and social control. By tying subsistence to land, the state fixed population, reduced mobility, and contained rebellion. Commerce, by contrast, created mobile wealth and mobile people who is the very source of instability. Thus, the doctrine was not merely an economic preference but a political technology of order. As Fairbank (1993) and Yang

Xiaokai (2007) argue, it aligned perfectly with the autocratic state's need for stability: minimizing circulation to minimize chaos.

By the late Qing, these values had become a civilizational reflex. Profit-making was legitimate only when it served the state or moral virtue; to pursue self-interest for its own sake was equated with rebellion. The piaohao's self-image as "Moral Merchants" was not hypocritical but adaptive. They reconciled commerce with morality by framing it as service to governance. Their loyalty was not to the market, but to the moral righteous order.

6.3 Primitive Power and the Cultural Logic of Non-Competition

Here, Lucian Pye's (1988) concept of Primitive Power answers the fundamental logic linking the "moral merchant" business culture, the *"honoring agriculture, restraining commerce"* with the historical fact that China had been under centralized control over thousand of years, when Europe was experience competition between different countries and institutions.

In Pye's framework, traditional political systems maintain stability not by coercion but by moral incorporation, which is by absorbing all social energies into the state's moral domain. The Qing state exemplified this. It did not need to suppress competition explicitly because competition itself had become culturally illegitimate. Through centuries of centralized rule, the empire internalized hierarchy into social psychology. Every organization existed by grace of the state; none could exist beside it.

In contrast, Europe's fragmented political order created what Pye and Wong (1997) call a "political market of states," where institutional competition rewarded efficiency. In China, there was no such market. The imperial state monopolized legitimacy, incorporating merchants, guilds, and banks as moral appendages rather than autonomous agents. The result was an enduring cultural equilibrium of obedience, where innovation appeared as disorder and autonomy as disloyalty. Over four millennia, this system cultivated an implicit inhibition: it did not need to intervene to suppress the market; it simply defined morality such that no market could morally exist outside the state.

Therefore, the piaohao's failure to corporatize was neither an accident nor a misunderstanding of Western banking—it was the logical outcome of a civilization where moral virtue and political power were one and the same. To become a corporation would have meant not just changing form, but challenging the moral cosmology of the Confucian empire itself.

7. Discussion

7.1 Revisiting Problematique and Theories

The evidence assembled here suggests that high market integration did not translate into institutional autonomy. Shiue & Keller's efficiency findings fit North's transaction-cost story at the micro level, but our China case shows that political authority can absorb micro-efficiency without codifying autonomy. We thus propose an amendment to North: between "efficient exchange" and "credible commitment" stands a cultural-political constraint layer, wherein rulers may delegate functions to private actors yet systematically avoid legal personhood that would

make those actors autonomous. In short, the Qing case is a regime of delegation without codification.

Gerschenkron's late-industrialization thesis holds that banks substitute for missing capital markets. Germany conforms: universal banks substituted for markets in mobilizing long-term industrial capital. China diverges: the Piaohao substituted for the treasury, not the exchange. Our results refine Gerschenkron by specifying scope conditions under which bank substitution becomes developmental: (i) corporate law and limited liability to depersonalize risk; (ii) state strategy that channels finance to industry (not to fiscal logistics); and (iii) organizational scalability beyond kinship. Absent these, substitution turns centripetal—pulling finance into the state—rather than developmental—pushing finance toward industry.

Hall & Soskice anticipate Germany's outcome: corporate law plus associational bargaining yield institutional complementarity between banks and industry. China exhibits a different “moralized” coordination mode where reciprocity, guarantor networks, and filial obligation coordinate exchange without legal depersonalization. Moralized coordination economizes on monitoring but caps scale and blocks corporatization. The Piaohao thus exemplify a stable non-corporate equilibrium that is efficient in remittance but structurally adverse to asset transformation.

7.2 Primitive Power as Meta-Institution

Pye's Primitive Power explains why the above equilibria persisted. Legitimacy derived from virtue and hierarchy, not legal rationality; hence the state could incorporate finance into its moral domain without overt repression. In this context, corporatization was not merely a technical

reform but a normative transgression “逃信”(escaping one’s debt of trust), “shares without kin, owners without lineage” as a dissolution of community.

Empirically, this maps onto:

- (i) fiscal dependence (rising share of government transactions)
- (ii) organizational paternalism
- (iii) legal thinness (absence of enforceable shareholder rights).

Together they generate a moral ceiling of modernization: efficiency reinforces subordination rather than autonomy.

7.3 Alternative Explanations, Limitations, and Generalizability

Finally, could weak industrial demand alone explain non-corporatization? The German contrast suggests otherwise: institutional preconditions (corporate law, limited liability, governance professionalization) are decisive in converting savings into industrial capital.

Foreign-bank penetration might be endogenous to those preconditions, not their cause.

Limitations remain:

- (a) Archival quantification is uneven: our Figure 1 uses interpolated mid-period values with clear caveats
- (b) Causal identification rests on process tracing, not formal econometrics
- (c) Focus on elite finance, not the full credit ecology.

Generalizability should be probed via shadow comparisons—e.g., Japanese zaibatsu banks (legal corporatism under authoritarian rule), Korean kye networks (moralized finance with later corporatization), Indian hundi bankers, and Russian state-bank regimes. These comparisons can test whether delegation without codification predicts similar moral ceilings.

8. Conclusion

This paper asked why German universal banks evolved into corporate institutions under an authoritarian state while Chinese Piaohao failed to corporatize under a similarly centralized polity.

The answer is a three-link mechanism:

- i. Institutionally, the Qing state use private efficiency to stabilize fiscal logistics while withholding legal personhood, and rely on the culture tradition to compress commerce which echoes with mainstream thoughts that Qing government did too less to support private capital market, whilst it did not intervene it.
- ii. Organizationally, the Piaohao's unlimited-liability partnership translated credit into moral obligation, making trust non-transferable and capital non-scalable.
- iii. Culturally, Primitive Power moralized authority and stigmatized impersonal rights; corporatization appeared as betrayal rather than innovation. Germany, by contrast, combined corporate law, limited liability, and bank–industry complementarity to institutionalize autonomy and scale risk.

Future work should :

- (i) Assemble a province-year panel of Piaohao branches, fiscal flows, and legal events to test the sequencing of delegation and codification
- (ii) Exploit treaty-port telegraph and customs shocks as quasi-experiments for organizational adaptation.
- (iii) Extend shadow comparisons to Japan, Korea, India, and Russia to probe the boundary conditions under which authoritarian rule enables versus absorbs financial modernization.

Bibliography

Ban, Gu. ca. 82 CE. *Han Shu* [Book of Han]. Beijing: Zhonghua Book Company.

Broadberry, Stephen, Hanhui Guan, and David Li. 2018. “China, Europe, and the Great Divergence: A Study in Historical National Accounting, 980–1850.” *Economic History Review* 71 (3): 695–722.

Cameron, Rondo. 1967. *Banking in the Early Stages of Industrialization: A Study in Comparative Economic History*. New York: Oxford University Press.

Dong, Zhongshu. ca. 135 BCE. *Chunqiu Fanlu* [Luxuriant Dew of the Spring and Autumn Annals]. Beijing: Zhonghua Book Company.

Fairbank, John K., ed. 1993. *The Cambridge History of China, Volume 10: Late Ch'ing, 1800–1911, Part I*. Cambridge: Cambridge University Press.

Gerschenkron, Alexander. 1962. *Economic Backwardness in Historical Perspective: A Book of Essays*. Cambridge, MA: Harvard University Press.

Hall, Peter A., and David Soskice, eds. 2001. *Varieties of Capitalism: The Institutional Foundations of Comparative Advantage*. Oxford: Oxford University Press.

Li, Hongling. 1908. *Jinyou Riji: Tongzhou Zhonggao — Shanxi Piaoshang Chengbai Ji* [*A Traveler's Diary in Shanxi: "Advice to Companions Afloat," and "Records of the Success and Failure of Shanxi Bankers"*]. Reprinted in *Shanxi Piaohao Historical Materials Collection*. Taiyuan: Shanxi People's Press, 1988.

Ma, Debin, and Richard van Glahn. 2019. "The Economic History of Imperial China, 960–1911." *Cambridge Economic History of China*, Vol. 1. Cambridge: Cambridge University Press.

Ma, Debin, and Jared Rubin. 2019. "The Paradox of Weak State and Strong Market: China's Political Economy in Historical Perspective." *Explorations in Economic History* 73: 101–119.

Mahoney, James, and Kathleen Thelen, eds. 2010. *Explaining Institutional Change: Ambiguity, Agency, and Power*. Cambridge: Cambridge University Press.

Meng, Wu. 2025. "Governance Structure, Organizational Form, and Business Performance: A Study of the Shanxi Piaohao (Banks), 1820s–1930s." *Economic Discussion Paper* No. EDP-2306, University of Manchester.

Morck, Randall, and Fan Yang. 2010. "The Shanxi Banks." *NBER Working Paper* No. 15884. Cambridge, MA: National Bureau of Economic Research.

North, Douglass C. 1990. *Institutions, Institutional Change and Economic Performance*. Cambridge: Cambridge University Press.

Pye, Lucian W. 1988. *The Mandarin and the Cadre: China's Political Cultures*. Ann Arbor: University of Michigan Press.

Ritschl, Albrecht, and Manuel Wenzl. 2004. "Relational Capital Markets: German Bank–Industry Relations, 1850–1930." *European Review of Economic History* 8 (2): 123–147.

Shiue, Carol H., and Wolfgang Keller. 2007. "Markets in China and Europe on the Eve of the Industrial Revolution." *American Economic Review* 97 (4): 1189–1216.

Wang, Luman. 2012. "The Contingent Business Relationship That Soured: Shanxi 'Piaohao' and the Qing Dynasty, 1850s–1911." *Business History / Enterprise & Society* 13 (4): 671–702.

Wang, Luman. 2024. "Reassessing the Fiscal Role of the Shanxi Piaohao in the Late Qing." *Modern Chinese Economic History Journal* 12 (2): 201–230.

Wehler, Hans-Ulrich. 1973. *The German Empire, 1871–1918*. Leamington Spa: Berg Publishers.

Wu, Meng. 2023. "Traditions and Innovations: The Rise and Decline of the Shanxi Piaohao in the Context of Growing Sino-Foreign Economic Interaction, the 1840s to 1910s." *Discussion Paper Series* EDP-2306. Manchester: University of Manchester.

Wu, Meng. 2019. "Moral Authority and Informal Contract Enforcement: Revisiting the Shanxi Banks." *Economic History Working Paper Series* No. 194, London School of Economics.

Wong, R. Bin. 1997. *China Transformed: Historical Change and the Limits of European Experience*. Ithaca, NY: Cornell University Press.

Xu, Hua. 2008. *The History and Management of Shanxi Piaohao*. Beijing: China Finance Press.

Yang, Xiaokai. 2007. "Bainian Zhongguo Jingjishi Bijian" [Notes on a Century of China's Economic History]. *Aisixiang.com*. <https://www.aisixiang.com/data/3686.html>

Yan, Jin. ca. 280 CE. "Memorial on the Importance of Agriculture." *Jin Shu* [Book of Jin]. Beijing: Zhonghua Book Company.

Zhong, Qiaohui, ed. 2021. *The Money-Making in Ancient China: A Literature Review Journey Through Ancient Texts*. Shanghai: Fudan University Press.

